Hawai'i House of Representatives
415 South Beretania St.
Honolulu, HI 96813

April 15, 2025

RE: Vote NO on HB 2137 – Relating to Deceptive Use of Synthetic Media

Dear Representative,

On behalf of the advertising industry, we write to **strongly oppose Hawaiʻi HB 2137**. While we support the legislative intent of shielding consumers from deceptive content, HB 2137 imposes broad, technically impractical mandates that risk stifling creative innovation and placing an undue operational burden on Hawaiʻi's business community and the broader advertising ecosystem.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,000 companies that power the commercial Internet, which accounted for nearly 20 percent of total U.S. gross domestic product ("GDP") in 2024. By one estimate, approximately 17.5% of Hawaiʻi jobs in 2024 were supported by advertising, a share projected to increase to 19.3% by 2029.

Our concerns regarding the specific legal language and requirements of HB 2137 are outlined below:

I. AI-generated performers continue a longstanding advertising tradition of innovation and creativity.

AI-generated synthetic performers are not a radical departure from past production practices, but a continuation of a longstanding tradition in advertising, media, movies, publishing and other sectors: using creative, digitally-crafted figures to connect with audiences. From the E*TRADE talking babies to the human-sounding Morris the Cat, and countless animated mascots, brands have long used simulated, realistic-looking or sounding characters to entertain, inform, and build emotional resonance. These figures—whether drawn, rendered, or now AI-generated or altered—are developed and directed by human creatives, serving as expressive tools rather than deceptive agents. Singling out vaguely defined, human-like, AI-generated synthetic performers for special disclosures creates a false distinction and unfairly casts doubt on a legitimate evolution in commercial storytelling.

II. HB 2137's definition of "synthetic performer" is vague and overly broad.

The definition of a “synthetic performer” in HB 2137 is vague and overbroad and could inadvertently encompass virtually any altered human performance or stylized character, digital or otherwise. As written, the statute also risks encompassing long-standing post-production practices that have been industry standards for decades, such as CGI animation, digital compositing, and AI-enhanced editing. These tools are routinely used not to deceive, but to enhance storytelling, add creative flair, or streamline production workflows.

HB 2137 transforms standard digital artistry into a regulatory liability. The bill's inclusion of any asset "modified by computer" to create the "impression" of a performance leaves advertisers and brands to navigate subjective criteria regarding what constitutes a "highly realistic" asset, making consistent compliance nearly impossible, and leaving well-meaning companies at risk for selective jury or other interpretations costing them potentially millions.

To consider the practical effect of such subjective criteria, one need look no further than a heritage campaign for a local aloha wear label. The brand might use AI-driven de-aging to show a *kupuna* (elder) on a beach in Waikiki, seamlessly transforming the actor’s face into his twenty-year-old self to showcase a vintage 1960s print Aloha shirt. Under HB 2137, this artistic transition—which uses a modified version of the actor to recount a "personal experience" of the brand’s longevity—could be interpreted as a "deceptively presented" synthetic performer. Despite being a long-standing and clearly non-deceptive storytelling device, the brand would be forced to clutter the ad with an AI disclaimer, shattering the narrative flow and emotional resonance of the creative work. Meanwhile, malicious actors—unconstrained by ethical guidelines or regulatory oversight—will continue to exploit these same tools to deceive the public, unburdened by the very transparency requirements that penalize legitimate creators.

When the line between artistic enhancement and legal violation is this blurred, the natural result is a chilling effect on the entire creative process. Ultimately, this lack of definitional clarity will deter creative experimentation and expose Hawaiʻi-based content creators to heightened legal liability. By penalizing innovation rather than focusing on actual consumer harm, the bill threatens to undermine the state’s vibrant advertising and media production economy.

III. The materiality-based disclosure in HB 2137 still triggers over broad mandates.

While we remain concerned with the overarching impact of HB 2137, we appreciate the legislature’s attempt to refine the scope of disclosure through a "materially deceptive" standard. This approach is more thoughtful than a recently enacted law in another state, which imposes a blanket disclosure mandate on the use of all AI-generated synthetic performers regardless of context. By focusing on specific high-risk scenarios—such as the deceptive use of professional credentials—the bill moves toward a targeted fraud-prevention model rather than a punitive stance on modern production tools.

The industry also remains concerned that the clause’s practical application remains overly broad. Specifically, the bill stipulates that a synthetic performer’s use of "biographical details" or the "recounting of a personal experience" triggers a mandatory disclosure. By treating these narrative elements as inherent evidence of material deception, the framework effectively mischaracterizes standard commercial storytelling as consumer fraud.

Advertisers have long utilized fictional personas—from the "Mayhem" man to digital mascots—to build engagement through imagined histories and relatable testimonials. Under the current draft, HB 2137 would force brands to clutter these creative works with "AI-generated" disclaimers simply because a digital character expresses a preference for a product or possesses a backstory. This requirement fails to distinguish between the fraudulent impersonation of a real consumer and the harmless use of a stylized digital ambassador – it also fails to target consumer fraud. The resulting mandates not only disrupt narrative flow but may actually mislead consumers into believing a routine creative choice is an attempt at deception, even when no reasonable person would mistake a fictional entity's "personal experience" for a literal statement of human fact.

Furthermore, this standard conflicts with established federal "puffery" protections, which allow for exaggerated promotional statements not intended to be taken as literal truth. By creating a *per se* disclosure trigger for any synthetic "personal experience," the bill ignores reasonable consumer interpretation. To ensure this clause functions as a shield against fraud rather than a sword against creativity, it must be tethered to a "Reasonable Consumer" standard. Without such a safeguard, Hawaiʻi advertisers face an impossible choice: abandon relatable digital personas entirely or risk significant penalties for creative choices that do not impact an informed purchasing decision. We urge the legislature to refine this section to explicitly exempt clearly fictional brand mascots and stylized digital artistry, ensuring the law targets actual bad actors without chilling industry innovation.

IV. The disclosure requirements in HB 2137 lack technical feasibility and disrupts ad aesthetics.

The bill's proscribed mandate for "clear and conspicuous" disclosures presents a significant technical and creative hurdle that fails to account for the realities of modern media consumption. Specifically, HB 2137 requires that disclosures be "visible" for images and video and "audible" for audio recordings. However, in an ecosystem where content is viewed on everything from 70-inch televisions to 2-inch smartwatch screens, the bill provides no "safe harbor" or technical guidance on what constitutes compliance across these vastly different formats. Without a standard that is technologically neutral and adaptable to various device interfaces, Hawaiʻi businesses face the impossible task of meeting a "conspicuous" standard that has not been well defined for the multi-platform digital age.

Instead of mandating an on-ad label (which could affect creative formats or be technically difficult in certain media), we offer that the bill be amended so that advertisers may meet the requirement by making the disclosure available through other accessible means—such as linked information, accompanying text, or platform-level notices.Through these changes, the law would instead be emphasizing whether a consumer can easily find and understand the disclosure, rather than prescribing exactly where or how it appears.

Furthermore, this rigid approach fails to account for emerging AI-labeling innovations, such as the C2PA (Coalition for Content Provenance and Authenticity) standards currently being adopted by the global tech and advertising industries. By mandating visible watermarks or specific "plain language" text overlays—such as the bill's suggested *"This is an AI-generated depiction..."*—rather than also allowing invisible metadata "Nutrition Labels or other innovative non-intrusive provenance indicators, the legislation disrupts the aesthetic integrity and narrative cohesion essential to effective advertising.

The proscribed approach to visible or audio disclosures mandated by HB 2137 may also inadvertently lead to consumer disclosure fatigue, where consumers are so inundated with repetitive, intrusive labels that they begin to ignore altogether. By forcing a 'clear and conspicuous' warning on even the most harmless creative enhancements, the bill risks desensitizing the public. This saturation ultimately undermines the very transparency the legislation seeks to achieve; when a significant portion of ad content is labeled as 'synthetic,' the consumer loses the ability to distinguish between standard digital artistry and genuinely deceptive or high-risk content.

V. HB 2137 contains no explicit provision prohibiting a private right of action.

As presently drafted, it is unclear whether HB 2137's enforcement provisions allow for a private right of action. HB 2137 should be updated to clarify that it does not create a private right of action under any law. Instead, enforcement should be vested with the Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for Hawai'i residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with the bill's new requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

The possibility of a private right of action in HB 2137 would create a complex and flawed compliance system without tangible benefits for consumers. In addition, allowing private actions will flood Hawai'i's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm. Private right of action provisions are completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on Hawai'i's economy by creating the threat of steep and unforeseeable costs for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions do not effectively address consumer protection concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action would also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.

Beyond the staggering cost to Hawaiʻi businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, the possibility of a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage the Committee to clarify that HB 2137 does not create a private right of action under any law and vests enforcement authority with the AG alone.

VI. HB 2137 contains no cure-period to support compliance.

HB2137 contains no right to cure provision. Adding a reasonable cure period would give businesses and other individuals a critical safeguard by allowing them to correct unintentional violations, such as a missed disclosure or misclassification of a synthetic performer, before facing enforcement actions. It's also important to define the AG enforcement process for notifying a "person" of a violation and giving them the opportunity to correct it, to ensure the issue can be properly resolved. This approach acknowledges the evolving nature of artificial intelligence tools and reduces the risk of disproportionate penalties for good-faith errors, especially in a fast-moving production environment. It would also promote compliance by encouraging timely corrections rather than immediate punishment, fostering a more practical and collaborative enforcement framework. We encourage the Hawaiʻi Legislature to consider adding a reasonable right to cure period of 90-days to allow persons to correct violations.

VII. HB 2137 does not calibrate penalties to match operational realities.

To ensure that enforcement is both fair and proportionate, we respectfully propose modifying the civil penalty structure. Specifically, we suggest reducing penalties to $500 for a first violation and $1,000 for each subsequent violation, with a total cap on civil penalties at $25,000. The current structure creates a risk of compounding penalties that quickly become disproportionate to the alleged harm. In the modern advertising ecosystem, a minor technical error in a single creative asset could generate hundreds of individual "violations" in a matter of hours across programmatic digital platforms. Once a campaign is live, it is often technically impossible to halt distribution across every node of the internet instantaneously. A lower per-violation amount combined with a total penalty cap maintains a meaningful deterrent while avoiding punitive outcomes that chill legitimate commercial speech and place an existential financial burden on small and mid-sized businesses.

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For these reasons, **we strongly urge you to oppose HB 2137 and halt any efforts to advance this legislation**. We are eager to collaborate with Hawaiʻi lawmakers on thoughtful, forward-looking policies that strike the right balance between transparency and the freedom to innovate—ensuring Hawaiʻi remains a global leader in advertising and media production.

Hawaiʻi's unique cultural and demographic landscape makes responsible digital advertising especially important. The ability to thoughtfully and appropriately reach diverse local audiences is critical here, and restrictions in this space may have an outsized impact compared to other markets.

Thank you for your consideration of our comments.

Sincerely,

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